

LNG SnP report - April & May

May 21, 2025

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Market reflections

The past couple of months have largely echoed Bon Jovi's "All Talk, No Action."

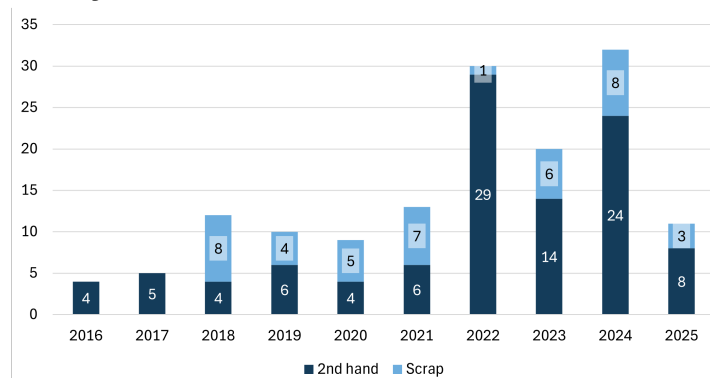
The market seems to be riddled with activity where vessels are put on subjects, failed on subjects or even better, "no-connection", whilst the odd one out ends with a transaction in the end. At present the count is 8 vessels sold for further trading and 3 having been recycled.

The KYC focus is continuing to be important and the fear of having a vessel show up in the wrong trade subsequent to a sale. This is an ongoing concern even though the appropriate measures are made during negotiations and documentation. Prospective buyers passing the KYC criteria appear to still be of the view that they may be catching the knife, as values remain under pressure. While this is predominantly related to ST/TFDE tonnage, the appetite for modern tonnage suggests the gap between willing buyers and willing sellers needs to narrow. Whether as a consequence of improved outlook and lifting the bid or reflecting over the current gloom to lower the ask - it's too wide today.

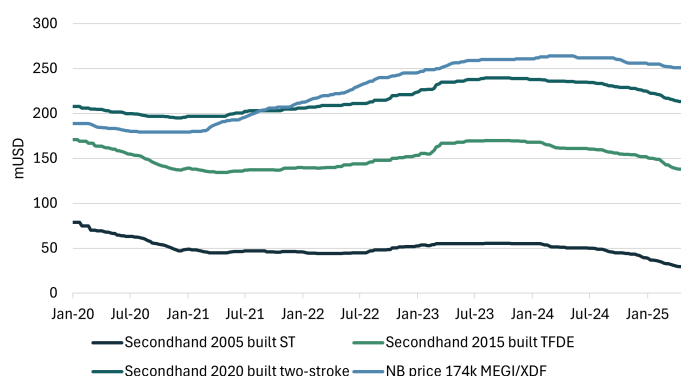
Recent sales

Vessel Name	Year of build	Sale Price (\$Mn)	Capacity (CBM)	Seller	Buyer
Condor LNG	2006	29,00	145 000	Cardiff	Chinese interest
Al Khazna	1994	20,00	137 500	ADNOC	
Dukhan	2004	20,13	137 661	MOL	Scrap
Trader III	2002	13,18	137 100	Capital Maritime & Trading	GMS
LNG Bayelsa	2003	25,00	137 300	BGT	Dixstone/Perenco
SK Sunrise	2003	23,00	138 000	SK Shipping	Chinese interest
Energy Frontier	2003	23,00	147 000	TLT	MOL
Golar Arctic	2004	23,00	140 000	Golar	Soechi

Yearly sales



Asset values

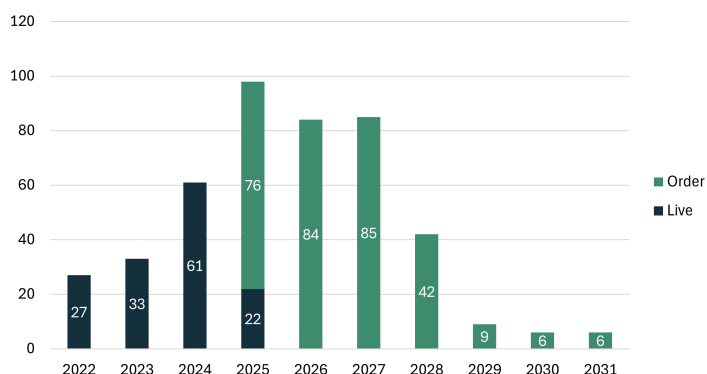


Newbuilding update

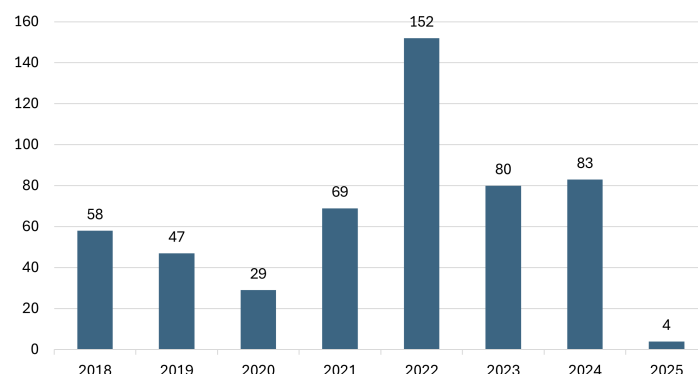
Korean shipyards are leveraging recent United States Trade Representative (USTR) developments to implement price increases across most vessel segments, reversing a five-month downward trend. Several major oil companies have engaged with shipyards for newbuild orders, with indications suggesting further orders are anticipated post-summer, bolstering confidence within the Liquefied Natural Gas Carrier (LNGC) sector. Nevertheless, shipyards are actively seeking to secure contracts for early 2028 delivery slots to avoid potential conversion of these berths to vessel types with shorter lead times, such as container ships and VLCCs.

Name	Owners	Yard	Ordered	Capacity	Propulsion	Delivery
Hd Hyundai Samho	Purus	Hyundai Samho	01/04/2025	180,000	XDF	01/03/2028
Hanwha Ocean 2606	Hanwha Ocean	Hanwha Ocean	01/03/2025	175,000	MEGI	01/06/2027
Hanwha Ocean 2607	Hanwha Ocean	Hanwha Ocean	01/03/2025	175,000	MEGI	01/08/2027
Samsung 2729	Celsius Ship-ping	Samsung	17/01/2025	180,000	XDF	01/06/2027
Samsung 2709	MISC	Samsung	01/12/2024	174,000	XDF	01/01/2027
Samsung 2710	MISC	Samsung	01/12/2024	174,000	XDF	01/04/2027
Hanwha Ocean 2602	Maran Gas Maritime	Hanwha Ocean	05/11/2024	174,000	MEGI	01/08/2027
Hanwha Ocean 2603	Maran Gas Maritime	Hanwha Ocean	05/11/2024	174,000	MEGI	01/12/2027
Hanwha Ocean 2598	ADNOC	Hanwha Ocean	01/10/2024	174,000	XDF	01/06/2028

Deliveries incl. orderbook



LNGC orders

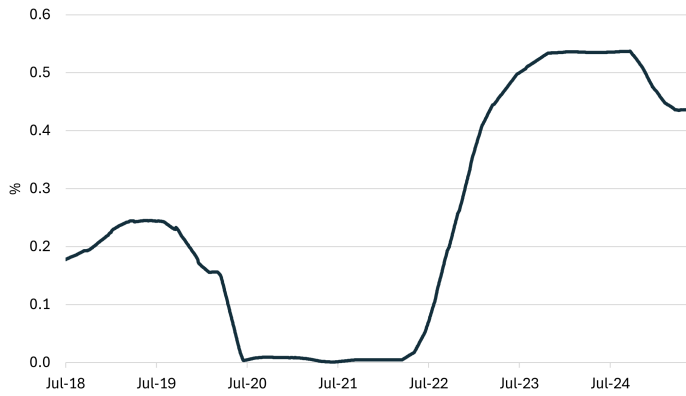


Interest rates

The credit markets have been highly volatile since our last report as the fallout of "Liberation Day" drove yields higher with the US 10-year jumping 50bps to 4.5% in the aftermath. Since then investors have been on free soloing on changes in tariffs hitting the headlines leading to some interesting moves. While the story a few months back was lower interest rates on back of diminishing growth prospects it is now turned upside down. With Moody's as the last rating agency to cut US AAA-rating (S&P and Fitch already at AA-level) the cost of borrowing in USD will likely nudge higher. Sure enough, the President seems to have a disagreement with the Fed as to when to cut rates, but overall expectations are of several cuts in 2025 still.

It is interesting to note that ECB are down in the low-2s with talks of another cut at the next meeting - potentially an opportunity for borrowers to think about EUR-denominated financing?

Interest rate (90 day avg. SOFR)



Source: FRED

10-Year Treasury Constant Maturity Minus 2-Year Treasury Constant Maturity



Recycling

The recycling market remains largely static, although renewed discussions are emerging, primarily from Eastern players. This stems from owners' corporate departments evaluating the optimal outcome between recycling now and a costly lay-up. The latter is a gamble, hoping for either a miraculous rebound in the spot market or a lucrative project sale that outpaces scrap value. However, the clock is ticking, as lay-up expenses can quickly exceed the current recycling returns, making the wait a risky proposition.

Bangladesh US\$ 465/475

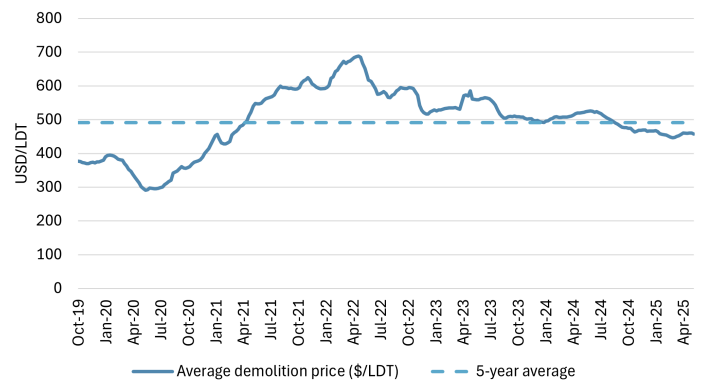
Pakistan US\$ 455/465

India US\$ 460/470

Turkey US\$ 255/265

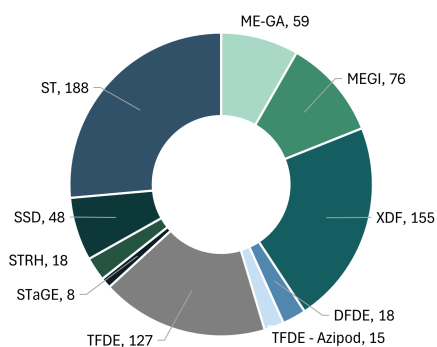
Source: Baltic Exchange

Demolition price (large tanker)

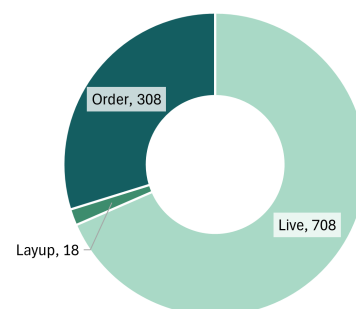


World fleet at a glance

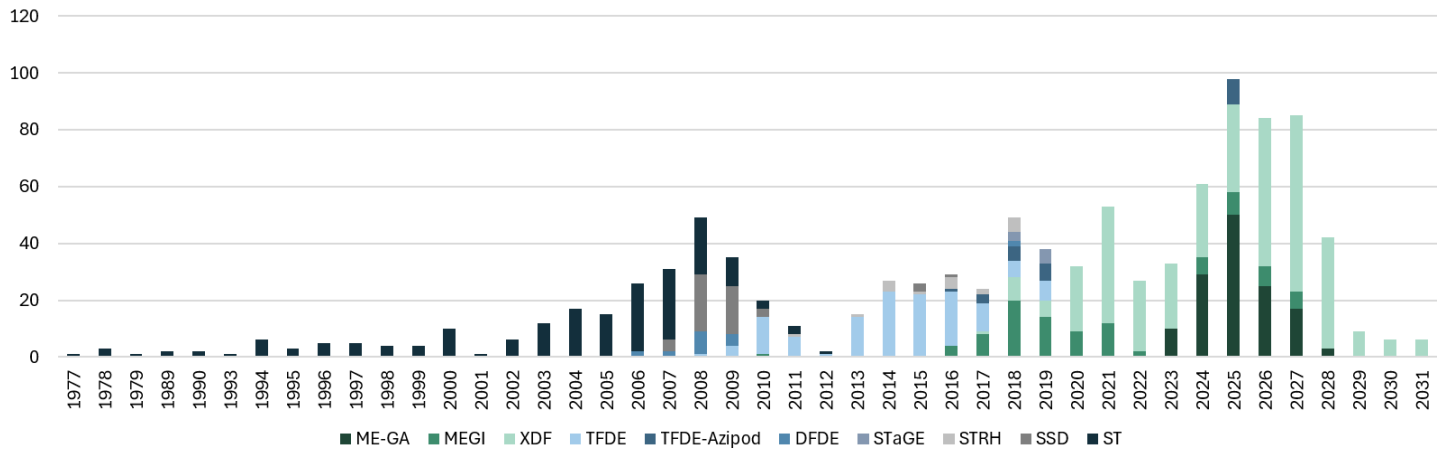
Live fleet by propulsion



Total fleet



LNGC fleet by propulsion and delivery year





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